Portfolios of the Poor

By way of keeping my ear close to the ground, one book that impressed me was *Portfolios of the Poor*[2] where the authors tracked 100 poor rural households each (living below the World Bank poverty norm of less than $2 a day) in three countries—Bangladesh, India and South Africa—for one full year and maintained a financial diary of each household's daily income and expenditure.

The findings in the book are revealing and touching. One of the least understood problems of poverty is that the poor have not only low incomes but their income streams are irregular and unpredictable. Living on less than $2 per day does not mean that you earn $2 every day. That is the average over time. At the same time, the poor have to cope with loss of employment, illness and death in the family and lumpy expenditure needs. One of the stereotypes about poverty is that 'the poor don't save because they have no money to save'. That is a false stereotype. The poor need to save precisely because, like the rest of us with a present and a future, they too have to put aside a part of what they have today, little as it might be, to provide for tomorrow. The sophisticated financial planning that the poor adopt to smooth their incomes constitutes the fascinating story of portfolios of the poor.

The reason I am referring to 'portfolios of the poor' is because of the powerful way in which the book reinforces the importance of keeping one's ear close to the ground. Let me elaborate.

All through my tenure in the Reserve Bank, we would occasionally get reports from banks as well as state governments that some districts have achieved 100 per cent financial inclusion. These claims would not, of course, stand scrutiny. When you actually check, you would find that thousands of households had not been covered. And even where they have a bank account, the accounts would not be actively used. In other words, our financial inclusion programme was going the way of all other target-driven programmes—compliance in letter but not in spirit.